The government has tried to compensate for some of these impediments by offering MSMEs incentives and concessions. But schemes and interventions based on tightly defined classifications create an incentive structure that might prevent firms from growing. Service tax exemptions for firms with less than Rs 10 lakh revenue and exemption from central excise duty for firms with an annual turnover of less than Rs 1.5 crore are examples of these schemes. The jump from ‘small’ to ‘medium’ enterprise especially entails loss of several perks.

3. However, there are, also many good practices and regulations strewn over different cities of India, which, if standardised and adopted across the country, can improve the business climate enormously. The *World Bank’s ‘Doing Business in India, 2009’* has shown that if a hypothetical city called ‘Indiana’ were to adopt best practices found in several benchmarked cities (e.g. lowering number of procedures to start business to Patna levels, days to start a business to Mumbai levels, procedures around construction permits to Ahmedabad levels, days to enforce a contract to Guwahati levels, and recovery rate for closing a business to Hyderabad levels), it would rank a much improved 67 out of the 181 economies measured.

Difficult Funding

Indian banks and financial institutions are wary of lending to MSMEs because they lack adequate credit histories or collateral. A cluster-centric approach is one way of addressing this because it reduces transactions costs for the lender, while repeated interactions for a lender with cluster members increases the scope for building trust. While there have been efforts to facilitate these, their coverage is still small. Schemes such as credit guarantees by the Small Industry Development Board of India (SIDBI) have been useful, but there are gaps.

The presence of *Angel investors*, *venture capital funds*, and *impact investors* are still at a nascent stage and small compared to global peers. Most of these investments are biased towards services, especially technology and e-commerce. Government funds (through grants and seed funding programmes such as Technopreneur Promotion Programme and Technology